Bolivia's Political Situation | Bolivia, South America

SIGNAL Bolivia's government is executing a rapid economic stabilization program — ending the 15-year currency peg, devaluing the boliviano by 30%, and advancing a $5 billion IMF financing package — with the explicit backing of the Trump administration.

FRACTURE The currency devaluation has pushed June inflation to a 38-year high of 5.2%, eroding purchasing power precisely when Paz lacks the congressional support and social legitimacy to implement the complementary structural reforms that would make the stabilization effort sustainable.

Paz will survive the current protest wave but emerge politically crippled, unable to pass structural reforms and dependent on military support to maintain basic governance functions through end of 2026.

65%

PROBABILITY

TARGET: DECEMBER 2026

CONFIDENCE: MEDIUM

WHAT'S NEW

- Probability unchanged at 65% — the currency devaluation and inflation spike increase instability risk, but US diplomatic backing and advancing IMF negotiations provide offsetting stabilization.
- June 26: Bolivia ended its 15-year dollar peg, devaluing the boliviano from 6.96 to 9.73 per USD (~30% devaluation), and transitioned to a floating exchange rate on June 29.
- IMF negotiations have advanced from a previously discussed $3.3B package to approximately $5 billion, per Economy Minister José Gabriel Espinoza (June 29).
- June inflation hit 5.2% — the highest monthly rate in 38 years, driven by food, fuel, and import cost pass-through.
- The Trump administration formally endorsed Paz's state of emergency via a State Department spokesperson backing the June 20 decree.
- Moody's maintains Bolivia at Caa3 (lowest rating range), projecting economic contraction for 2026, while crediting Paz's willingness to reform.
- The Atlantic Council convened a virtual conversation with Bolivian Foreign Minister Fernando Aramayo on restoring stability and governability, scheduled for July 7.

ANALYSIS

POLITICAL

Paz's political position has entered a new phase. The state of emergency has achieved its immediate objective — most blockades are cleared and supply chains are partially restored — but the underlying political crisis has deepened. His government's pivot to IMF-directed economic shock therapy is analytically sound but politically catastrophic. Ending the dollar peg was a necessary correction after years of reserve depletion, but it arrives in a context where Paz has already burned his political capital on fuel subsidy elimination and a failed land reform attempt. The government attempted land reform in April but was forced to repeal it in May under protest pressure, demonstrating Paz's inability to hold a legislative coalition even before the currency crisis. The US endorsement provides diplomatic cover but no congressional votes. Morales remains confined to the Chapare but the currency devaluation — which hits the poor and rural populations hardest — creates the conditions for a second protest wave that could be larger than the first.

ECONOMIC

The economic narrative has fundamentally shifted from "crisis management" to "structural transformation." Bolivia's June 26 decree ending the dollar peg is the most significant economic policy change since 2011. The boliviano's ~30% devaluation (to 9.73 per dollar) represents an admission that the fixed rate had become indefensible: reserves collapsed from $15B to $4.5B, dollar shortages were chronic, and a parallel black market had emerged. The IMF package, now reportedly near $5 billion (up from $3.3B), would provide critical liquidity and credibility — but it brings conditionality that will likely demand further subsidy cuts, public sector restructuring, and tax reforms that Paz cannot pass. Moody's Caa3 rating and projected 2026 economic contraction underscore the severity. The devaluation will spike import costs, adding inflationary pressure at a moment when food prices have already doubled. Bolivia did manage a $1 billion international bond issuance in May, showing residual market access, but this was a tactical liquidity operation, not a vote of confidence. The fundamental tension remains: the economic reforms Bolivia needs are politically impossible under current conditions.

MILITARY

The military's role has expanded from post-blockade enforcement to a broader governance dependency. The 90-day state of emergency (declared June 20) gives armed forces authority to maintain public order, and with blockades cleared, the military is now the visible guarantor of Paz's presidency. The new Law on the Regulation of States of Emergency reportedly expands executive powers and grants legal safeguards to repressive forces — a development that civil society groups have labeled a "license to kill." While there is no indication of an active coup, the institutional risk is a slow erosion of civilian authority: the longer the military operates as the primary instrument of order maintenance, the harder it becomes to return to normal constitutional governance. The

Defense Minister's June resignation over the use of force against civilians suggests internal military unease, but no public fracture has emerged.

TECHNOLOGICAL

Bolivia's lithium potential remains the country's most significant long-term strategic asset, but developments this period have been dominated by macroeconomic rather than technological developments. Moody's analyst Dylan Walsh noted that lithium is "projected more in the long term due to the technical difficulties involved in its exploitation." Construction of industrial lithium plants remains distant, with pilot plants still incomplete and contracts requiring legislative approval that Paz cannot secure. The currency devaluation and IMF engagement may eventually make Bolivia more attractive to foreign mining investment by creating a more rational pricing environment, but the investment law needed to open strategic sectors to foreign capital remains stalled in a hostile Congress. Chinese and Russian extraction projects continue to face delays, quality issues, and local resistance in Potosí.

WATCH INDICATORS

- Whether the boliviano stabilizes near 9.73 or continues to depreciate on the open market
- IMF board approval timeline and specific conditionality attached to the $5B package
- Whether inflation accelerates past 5.2% monthly, triggering a second wave of protests
- Congressional response to the new investment law and hydrocarbon reform legislation
- Military's continued operational role beyond the 90-day state of emergency
- Morales's public statements and any signs of organized opposition regrouping
- Outcome of Atlantic Council July 7 Foreign Minister engagement and any US aid commitments

PROBABILITY TRIGGERS

EVENT	DIRECTION
IMF board approves $5B package with manageable conditionality	Down
Boliviano depreciates past 12 per dollar, triggering hyperinflation fears	Up
Congress passes new investment law opening strategic sectors	Down
Second wave of protests exceeds first wave in scale and duration	Up
Military publicly withdraws support or fractures over use of force	Up

EVENT	DIRECTION
US announces bilateral economic aid package for Bolivia	Down
Morales leaves Chapare and makes public appearance in La Paz	Up

KEY SOURCES

1. Bolivia ends 15-year dollar peg in attempt to restore economic stability — Reuters/AOL
2. Bolivia Floating Exchange Rate: Boliviano Hits 9.73 — Rio Times
3. Rubio backs Bolivia's conservative government amid socialist-led unrest — Fox News
4. Bolivia seeks private investment: can Paz regain investors' confidence? — BNamericas/Moody's
5. Bolivia Ends 15-Year Dollar Peg as Boliviano Falls About 30% — Cryptometer
6. Restoring stability and governability in Bolivia — Atlantic Council
7. Bolivia's Governance Crisis Under Rodrigo Paz — CSIS (June 30)

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